

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR

HOUSE BILL NO. 3538

By: Marti of the House

and

Bullard of the Senate

COMMITTEE SUBSTITUTE

An Act relating to professions and occupations;
providing legislative findings and intent; amending
59 O.S. 2021, Section 353.1, as last amended by
Section 5, Chapter 340, O.S.L. 2025 (59 O.S. Supp.
2025, Section 353.1), which relates to pharmacy
definitions; defining term; creating a prohibition on
certain pharmacy licenses for retail sale of drugs or
medicines; directing the creation of a written
policy; requiring notice; providing for
noncodification; providing for codification; and
declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law not to be
codified in the Oklahoma Statutes reads as follows:

A. The Oklahoma Legislature finds that:

1. It is beneficial to the State of Oklahoma to support patient
access to prescription drugs and pharmacy services at fair prices in
a market that supports optimal patient care;

1 2. The Federal Trade Commission and the United States House
2 Committee on Oversight and Government Reform have found evidence of
3 anticompetitive business tactics that have driven locally operated
4 pharmacies out of business, limiting patient choices and inflating
5 drug prices at pharmacies owned by pharmacy benefits managers; and

6 3. The State of Oklahoma wishes to minimize conflicts of
7 interest by stopping the pharmacy benefits managers acting as a "fox
8 guarding the henhouse" by being both a price setter and price taker.

9 B. It is the intent of the Legislature that the State of
10 Oklahoma shall improve health care delivery in the pharmacy market
11 for patients by eliminating certain anticompetitive business tactics
12 as a basic tenet of this act.

13 SECTION 2. AMENDATORY 59 O.S. 2021, Section 353.1, as
14 last amended by Section 5, Chapter 340, O.S.L. 2025 (59 O.S. Supp.
15 2025, Section 353.1), is amended to read as follows:

16 Section 353.1. For the purposes of the Oklahoma Pharmacy Act:

17 1. "Accredited program" means those seminars, classes,
18 meetings, work projects, and other educational courses approved by
19 the State Board of Pharmacy for purposes of continuing professional
20 education;

21 2. "Act" means the Oklahoma Pharmacy Act;

22 3. "Administer" means the direct application of a drug, whether
23 by injection, inhalation, ingestion, or any other means, to the body
24 of a patient;

1 4. "Assistant pharmacist" means any person presently licensed
2 as an assistant pharmacist in this state by the Board pursuant to
3 Section 353.10 of this title and for the purposes of the Oklahoma
4 Pharmacy Act shall be considered the same as a pharmacist, except
5 where otherwise specified;

6 5. "Board" or "State Board" means the State Board of Pharmacy;

7 6. "Certify" or "certification of a prescription" means the
8 review of a filled prescription by a licensed pharmacist or a
9 licensed practitioner with dispensing authority to confirm that the
10 medication, labeling, and packaging of the filled prescription are
11 accurate and meet all requirements prescribed by state and federal
12 law. For the purposes of this paragraph, "licensed practitioner"
13 shall not include optometrists with dispensing authority;

14 7. "Chemical" means any medicinal substance, whether simple or
15 compound or obtained through the process of the science and art of
16 chemistry, whether of organic or inorganic origin;

17 8. "Compounding" means the combining, admixing, mixing,
18 diluting, pooling, reconstituting, or otherwise altering of a drug
19 or bulk drug substance to create a drug. Compounding includes the
20 preparation of drugs or devices in anticipation of prescription drug
21 orders based on routine, regularly observed prescribing patterns;

22 9. "Continuing professional education" means professional,
23 pharmaceutical education in the general areas of the socioeconomic
24 and legal aspects of health care; the properties and actions of

1 drugs and dosage forms; and the etiology, characteristics, and
2 therapeutics of the diseased state;

3 10. "Dangerous drug", "legend drug", "prescription drug", or
4 "Rx Only" means a drug:

5 a. for human use subject to 21 U.S.C., Section 353(b)(1),
6 or

7 b. is labeled "Prescription Only", or labeled with the
8 following statement: "Caution: Federal law restricts
9 this drug to use by or on the order of a licensed
10 veterinarian.";

11 11. "Director" means the Executive Director of the State Board
12 of Pharmacy unless context clearly indicates otherwise;

13 12. "Dispense" or "dispensing" means the interpretation,
14 evaluation, and implementation of a prescription drug order
15 including the preparation and delivery of a drug or device to a
16 patient or a patient's agent in a suitable container appropriately
17 labeled for subsequent administration to, or use by, a patient.
18 Dispense includes sell, distribute, leave with, give away, dispose
19 of, deliver, or supply;

20 13. "Dispenser" means a retail pharmacy, hospital pharmacy, a
21 group of chain pharmacies under common ownership and control that do
22 not act as a wholesale distributor, or any other person authorized
23 by law to dispense or administer prescription drugs, and the
24 affiliated warehouses or distributions of such entities under common

ownership and control that do not act as a wholesale distributor.

For the purposes of this paragraph, dispenser does not mean a person who dispenses only products to be used in animals in accordance with 21 U.S.C., Section 360b(a) (5);

14. "Distribute" or "distribution" means the sale, purchase, trade, delivery, handling, storage, or receipt of a product, and does not include the dispensing of a product pursuant to a prescription executed in accordance with 21 U.S.C., Section 353(b) (1) or the dispensing of a product approved under 21 U.S.C., Section 360b(b); provided, taking actual physical possession of a product or title shall not be required;

15. "Doctor of Pharmacy" means a person licensed by the Board to engage in the practice of pharmacy. The terms "pharmacist", "D.Ph.", and "Doctor of Pharmacy" shall be interchangeable and shall have the same meaning wherever they appear in the Oklahoma Statutes and the rules promulgated by the Board;

16. "Drug outlet" means all manufacturers, repackagers, outsourcing facilities, wholesale distributors, third-party logistics providers, pharmacies, and all other facilities which are engaged in dispensing, delivery, distribution, or storage of dangerous drugs;

17. "Drugs" means all medicinal substances and preparations recognized by the United States Pharmacopeia and National Formulary, or any revision thereof, and all substances and preparations

1 intended for external and/or internal use in the cure, diagnosis,
2 mitigation, treatment, or prevention of disease in humans or animals
3 and all substances and preparations, other than food, intended to
4 affect the structure or any function of the body of a human or
5 animals;

6 18. "Drug sample" means a unit of a prescription drug packaged
7 under the authority and responsibility of the manufacturer that is
8 not intended to be sold and is intended to promote the sale of the
9 drug;

10 19. "Durable medical equipment" has the same meaning as
11 provided by Section 375.2 of this title;

12 20. "Filled prescription" means a packaged prescription
13 medication to which a label has been affixed which contains such
14 information as is required by the Oklahoma Pharmacy Act;

15 21. "Hospital" means any institution licensed as a hospital by
16 this state for the care and treatment of patients, or a pharmacy
17 operated by the Oklahoma Department of Veterans Affairs;

18 22. "Licensed practitioner" means:

- 19 a. an allopathic physician,
- 20 b. an osteopathic physician,
- 21 c. a podiatric physician,
- 22 d. a dentist,
- 23 e. a veterinarian,
- 24 f. an optometrist, or

1 g. an Advanced Practice Registered Nurse,
2 licensed to practice and authorized to prescribe dangerous drugs
3 within the scope of practice of such practitioner;

4 23. "Manufacturer" or "virtual manufacturer" means with respect
5 to a product:

- 6 a. a person that holds an application approved under 21
7 U.S.C., Section 355 or a license issued under 42
8 U.S.C., Section 262 for such product, or if such
9 product is not the subject of an approved application
10 or license, the person who manufactured the product,
11 b. a co-licensed partner of the person described in
12 subparagraph a of this paragraph that obtains the
13 product directly from a person described in this
14 subparagraph or subparagraph a of this paragraph,
15 c. an affiliate of a person described in subparagraph a
16 or b of this paragraph who receives the product
17 directly from a person described in this subparagraph
18 or in subparagraph a or b of this paragraph, or
19 d. a person who contracts with another to manufacture a
20 product;

21 24. "Manufacturing" means the production, preparation,
22 propagation, compounding, conversion, or processing of a device or a
23 drug, either directly or indirectly by extraction from substances of
24 natural origin or independently by means of chemical or biological

1 synthesis and includes any packaging or repackaging of the
2 substances or labeling or relabeling of its container, and the
3 promotion and marketing of such drugs or devices. The term
4 manufacturing also includes the preparation and promotion of
5 commercially available products from bulk compounds for resale by
6 licensed pharmacies, licensed practitioners, or other persons;

7 25. "Medical gas" means those gases including those in liquid
8 state upon which the manufacturer or distributor has placed one of
9 several cautions, such as "Rx Only", in compliance with federal law;

10 26. "Medical gas order" means an order for medical gas issued
11 by a licensed prescriber;

12 27. "Medical gas distributor" means a person licensed to
13 distribute, transfer, wholesale, deliver, or sell medical gases on
14 drug orders to suppliers or other entities licensed to use,
15 administer, or distribute medical gas and may also include a patient
16 or ultimate user;

17 28. "Medical gas supplier" means a person who dispenses medical
18 gases on drug orders only to a patient or ultimate user;

19 29. "Medicine" means any drug or combination of drugs which has
20 the property of curing, preventing, treating, diagnosing, or
21 mitigating diseases, or which is used for that purpose;

22 30. "Nonprescription drugs" means medicines or drugs which are
23 sold without a prescription and which are prepackaged for use by the
24 consumer and labeled in accordance with the requirements of the

1 statutes and regulations of this state and the federal government.
2 Such items shall also include medical and dental supplies and
3 bottled or nonbulk chemicals which are sold or offered for sale to
4 the general public if such articles or preparations meet the
5 requirements of the Federal Food, Drug, and Cosmetic Act, 21
6 U.S.C.A., Section 321 et seq.;

7 31. "Outsourcing facility" including "virtual outsourcing
8 facility" means a facility at one geographic location or address
9 that:

- 10 a. is engaged in the compounding of sterile drugs,
- 11 b. has elected to register as an outsourcing facility,
- 12 and
- 13 c. complies with all requirements of 21 U.S.C., Section
14 353b;

15 32. "Package" means the smallest individual saleable unit of
16 product for distribution by a manufacturer or repackager that is
17 intended by the manufacturer for ultimate sale to the dispenser of
18 such product. For the purposes of this paragraph, "individual
19 saleable unit" means the smallest container of a product introduced
20 into commerce by the manufacturer or repackager that is intended by
21 the manufacturer or repackager for individual sale to a dispenser;

22 33. "Person" means an individual, partnership, limited
23 liability company, corporation, or association, unless the context
24 otherwise requires;

1 34. "Pharmacist-in-charge" or "PIC" means the pharmacist
2 licensed in this state responsible for the management control of a
3 pharmacy and all other aspects of the practice of pharmacy in a
4 licensed pharmacy as provided by Section 353.18 of this title;

5 35. "Pharmacy" means a place regularly licensed by the State
6 Board of Pharmacy in which prescriptions, drugs, medicines,
7 chemicals, and poisons are compounded or dispensed or such place
8 where pharmacists practice the profession of pharmacy, or a pharmacy
9 operated by the Oklahoma Department of Veterans Affairs;

10 36. "Pharmacy benefits manager" means a person, business, or
11 entity, including a wholly or partially owned or controlled
12 subsidiary of a pharmacy benefits manager, that provides claims
13 processing services or other prescription drug or device services,
14 or both, for health benefit plans. Pharmacy benefits manager does
15 not include any:

16 a. health care facility licensed in Oklahoma,

17 b. health care professional licensed in Oklahoma,

18 c. consultant who only provides advice as to the
19 selection or performance of a pharmacy benefits
20 manager, or

21 d. entity that provides claims processing services or
22 other prescription drug or device services for the
23 fee-for-service Oklahoma Medicaid program only in that
24 capacity;

1 37. "Pharmacy employer" means an employer that sponsors a
2 health benefit plan for its employees and their dependents, and
3 owns, operates, or controls a pharmacy that provides pharmacy
4 services exclusively to those employees and dependents;

5 38. "Pharmacy technician", "technician", "Rx tech", or "tech"
6 means a person issued a technician permit by the State Board of
7 Pharmacy to assist the pharmacist and perform nonjudgmental,
8 technical, manipulative, non-discretionary functions in the
9 prescription department under the immediate and direct supervision
10 of a pharmacist;

11 ~~37.~~ 39. "Poison" means any substance which when introduced into
12 the body, either directly or by absorption, produces violent,
13 morbid, or fatal changes, or which destroys living tissue with which
14 such substance comes into contact;

15 ~~38.~~ 40. "Practice of pharmacy" means:

- 16 a. the interpretation and evaluation of prescription
- 17 orders,
- 18 b. the compounding, dispensing, administering, and
- 19 labeling of drugs and devices, except labeling by a
- 20 manufacturer, repackager, or distributor of
- 21 nonprescription drugs and commercially packaged legend
- 22 drugs and devices,
- 23 c. the participation in drug selection and drug
- 24 utilization reviews,

- d. the proper and safe storage of drugs and devices and the maintenance of proper records thereof,
- e. the responsibility for advising by counseling and providing information, where professionally necessary or where regulated, of therapeutic values, content, hazards, and use of drugs and devices,
- f. the offering or performing of those acts, services, operations, or transactions necessary in the conduct, operation, management, and control of a pharmacy, or
- g. the provision of those acts or services that are necessary to provide pharmaceutical care;

~~39.~~ 41. "Preparation" means an article which may or may not contain sterile products compounded in a licensed pharmacy pursuant to the order of a licensed prescriber;

~~40.~~ 42. "Prescriber" means a person licensed in this state who is authorized to prescribe dangerous drugs within the scope of practice of the person's profession;

~~41.~~ 43. "Prescription" means and includes any order for drug or medical supplies written or signed, or transmitted by word of mouth, telephone, or other means of communication:

- a. by a licensed prescriber,
- b. by a physician assistant pursuant to a practice agreement,

1 c. (1) under the supervision of a supervising physician,
2 by a Certified Nurse Practitioner, Clinical Nurse
3 Specialist, or Certified Nurse-Midwife licensed
4 in this state who has not obtained independent
5 prescriptive authority under Section ~~±~~ 567.4c of
6 this ~~act~~ title, or

7 (2) by a Certified Nurse Practitioner, Clinical Nurse
8 Specialist, or Certified Nurse-Midwife licensed
9 in this state who has obtained independent
10 prescriptive authority under Section ~~±~~ 567.4c of
11 ~~act~~ title, or

12 d. by an Oklahoma licensed wholesaler or distributor as
13 authorized in Section 353.29.1 of this title;

14 ~~42.~~ 44. "Product" means a prescription drug in a finished
15 dosage form for administration to a patient without substantial
16 further manufacturing, such as capsules, tablets, and lyophilized
17 products before reconstitution. Product does not include blood
18 components intended for transfusion, radioactive drugs or biologics
19 and medical gas;

20 ~~43.~~ 45. "Repackager", including "virtual repackager", means a
21 person who owns or operates an establishment that repacks and
22 relabels a product or package for further sale or distribution
23 without further transaction;

1 ~~44.~~ 46. "Sterile drug" means a drug that is intended for
2 parenteral administration, an ophthalmic or oral inhalation drug in
3 aqueous format, or a drug that is required to be sterile under state
4 and federal law;

5 ~~45.~~ 47. "Supervising physician" means an individual holding a
6 current license to practice as a physician from the State Board of
7 Medical Licensure and Supervision, pursuant to the provisions of the
8 Oklahoma Allopathic Medical and Surgical Licensure and Supervision
9 Act, or the State Board of Osteopathic Examiners, pursuant to the
10 provisions of the Oklahoma Osteopathic Medicine Act, who supervises
11 a Certified Nurse Practitioner, Clinical Nurse Specialist, or
12 Certified Nurse-Midwife as defined in Section 567.3a of this title
13 who has not obtained independent prescriptive authority under
14 Section ~~4~~ 567.4c of this ~~act~~ title, and who is not in training as an
15 intern, resident, or fellow. The supervising physician shall remain
16 in compliance with the rules promulgated by the State Board of
17 Medical Licensure and Supervision or the State Board of Osteopathic
18 Examiners;

19 ~~46.~~ 48. "Supportive personnel" means technicians and auxiliary
20 supportive persons who are regularly paid employees of a pharmacy
21 who work and perform tasks in the pharmacy as authorized by Section
22 353.18A of this title;

23 ~~47.~~ 49. "Third-party logistics provider" including "virtual
24 third-party logistics provider" means an entity that provides or

1 coordinates warehousing, or other logistics services of a product in
2 interstate commerce on behalf of a manufacturer, wholesale
3 distributor, or dispenser of a product but does not take ownership
4 of the product, nor have responsibility to direct the sale or
5 disposition of the product. For the purposes of this paragraph,
6 third-party logistics provider does not include shippers and the
7 United States Postal Service;

8 ~~48.~~ 50. "Wholesale distributor" including "virtual wholesale
9 distributor" means a person other than a manufacturer, a
10 manufacturer's co-licensed partner, a third-party logistics
11 provider, or repackager engaged in wholesale distribution as defined
12 by 21 U.S.C., Section 353(e)(4) as amended by the Drug Supply Chain
13 Security Act;

14 ~~49.~~ 51. "County jail" means a facility operated by a county for
15 the physical detention and correction of persons charged with, or
16 convicted of, criminal offenses or ordinance violations or persons
17 found guilty of civil or criminal contempt;

18 ~~50.~~ 52. "State correctional facility" means a facility or
19 institution that houses a prisoner population under the jurisdiction
20 of the Department of Corrections;

21 ~~51.~~ 53. "Unit dose package" means a package that contains a
22 single dose drug with the name, strength, control number, and
23 expiration date of that drug on the label; and
24

1 ~~52.~~ 54. "Unit of issue package" means a package that provides
2 multiple doses of the same drug, but each drug is individually
3 separated and includes the name, lot number, and expiration date.

4 SECTION 3. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section 360.10 of Title 59, unless there
6 is created a duplication in numbering, reads as follows:

7 A. As used in this section:

8 1. "License" means a license issued under Section 358 of this
9 title;

10 2. "Permit" includes a pharmacy permit for a mail-order
11 pharmacy;

12 3. "Pharmacy benefits manager" means the same as defined in
13 Section 353.1 of this title; and

14 4. "Pharmacy benefits manager" includes an entity that:

15 a. is managed by a pharmacy benefits manager or is a
16 subsidiary of a pharmacy benefits manager, or

17 b. has a direct or indirect ownership interest in a
18 pharmacy benefits manager.

19 B. A pharmacy benefits manager shall not acquire direct or
20 indirect interest in, or otherwise hold, directly or indirectly, a
21 license under Section 358 of this title for the retail sale of drugs
22 or medicines in this state.

1 C. On and after the effective date of this act, the Oklahoma
2 State Board of Pharmacy shall either revoke or not renew a license
3 of an entity that violates this section.

4 D. The Board may issue a limited use license for certain rare,
5 orphan, or limited distribution drugs that are otherwise unavailable
6 in the market to a patient or a pharmacy that would otherwise be
7 prohibited under this section.

8 E. The Board may assess the need for rare, orphan, or limited
9 distribution drugs for a limited use license for certain rare,
10 orphan, or limited distribution drugs under subsection D of this
11 section before revocation or renewal of an existing retail license
12 for a pharmacy.

13 F. If the assessment made by the Board in subsection E of this
14 section determines that a rare, orphan, or limited distribution drug
15 is otherwise unavailable in the market to a patient or pharmacy that
16 would otherwise be prohibited in this section, the Board shall
17 convert the retail license for the prohibited pharmacy to a limited
18 use license for that pharmacy for a period of no less than ninety
19 (90) days.

20 G. Before the effective date of this act, the Board shall adopt
21 a written policy to implement subsection D of this section. The
22 written policy shall establish:
23
24

1 1. The process in which a patient, pharmacy, or health care
2 provider may notify the Board of a rare, orphan, or limited
3 distribution drug unavailable in the market;

4 2. The process in which a pharmacy may request a limited use
5 license under subsection D of this section;

6 3. The timeline in which the Board must make a decision; and

7 4. The process for emergency determinations due to patient
8 need.

9 H. The Board may extend the use of a retail license or issue a
10 renewal of a retail license for a pharmacy that offers same-day
11 patient access for pharmacist services, a prescription for a
12 controlled substance, mental health services, or other critical
13 patient health care services for a period of time as determined by
14 the Board if there is a pending sale of the pharmacy to an eligible
15 buyer.

16 I. This section does not apply to a pharmacy employer and a
17 pharmacy that:

18 1. Has direct or indirect interest in a pharmacy benefits
19 manager;

20 2. Are the sole Oklahoma client of the pharmacy benefits
21 manager that the pharmacy employer has a direct or indirect interest
22 in; and
23
24

1 3. Exclusively services the employees and dependents of the
2 pharmacy employer while utilizing the affiliated pharmacy benefits
3 manager in this state.

4 J. Subsections D through I of this section shall expire on
5 September 1, 2028.

6 SECTION 4. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section 360.11 of Title 59, unless there
8 is created a duplication in numbering, reads as follows:

9 A. The Oklahoma State Board of Pharmacy shall conduct an
10 initial assessment of each active retail pharmacy license that was
11 issued under Section 353.18 of this title as of July 1, 2026, and
12 shall send written notice to each pharmacy license holder that the
13 Board reasonably believes will violate Section 353.18 of this title
14 at least ninety (90) days before January 1, 2027.

15 B. As used in subsection A of this section, "written notice"
16 means actual notice to the pharmacy license holder via mail or
17 email.

18 C. The written notice required under subsection A of this
19 section shall include:

20 1. A list of each pharmacy benefits manager that holds a direct
21 or indirect interest in, or otherwise holds, directly or indirectly,
22 a license under Section 353.18 of this title for the retail sale of
23 drugs or medicines in this state held by the pharmacy license
24 holder;

1 2. A phone number and email address that is monitored by the
2 Board during regular business hours; and

3 3. A list of Oklahoma pharmacies that hold an active retail
4 pharmacy license that are not reasonably expected to be in violation
5 of this act as of January 1, 2027. The list shall include:

- 6 a. the name of the pharmacy,
- 7 b. the phone number of the pharmacy,
- 8 c. the physical address of the pharmacy,
- 9 d. the website of the pharmacy, if known, and
- 10 e. an email address for the pharmacy, if known.

11 D. If the Board has a searchable website that includes the
12 information required in paragraph 3 of subsection C of this section,
13 the Board may provide the website information in lieu of the list.

14 E. A pharmacy license holder with written notice from the Board
15 in subsection A of this section shall provide written notice at
16 least sixty (60) days before January 1, 2028, to each patient and
17 each patient's prescribing health care provider that has used the
18 pharmacy within the previous twelve (12) months that the pharmacy
19 can no longer dispense retail drugs to the patient on or after
20 December 31, 2027.

21 F. As used in subsection E of this section, "written notice"
22 means actual notice to the patient via mail, email, or through the
23 pharmacy's patient portal.

1 G. The written notice required in subsection E of this section
2 shall include the information under paragraphs 2 and 3 of subsection
3 C of this section provided by the Board to the pharmacy license
4 holder.

5 SECTION 5. It being immediately necessary for the preservation
6 of the public peace, health or safety, an emergency is hereby
7 declared to exist, by reason whereof this act shall take effect and
8 be in full force from and after its passage and approval.

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